

Buy forex in advance: The Union finance ministry has also increased the TCS on foreign exchange (forex) transactions by amending Section 206C of the Income Tax (I-T) Act.

Sudarshan Motwani, Founder and CEO of BookMyForex.com, says, “TCS will not apply to forex transactions below ₹7 lakh in a financial year. If you intend to travel or transfer money abroad and need to purchase forex worth more than ₹7 lakh, you can book your orders in advance. Following RBI’s guidelines, you may purchase currency 60 days before your trip. If you travel abroad before November 30, you can buy forex worth more than ₹7 lakh by September 30, and avoid paying 20 per cent TCS.” The current rate is 5 per cent for forex worth more than ₹7 lakh.

Avoid packages: You can opt for standalone bookings of stay, travel ticket, etc. The I-T Act defines a tour package as one that offers a visit to a foreign country and includes expenses like travel and stay. But it is vague beyond this definition, says Maneet Pal Singh, Partner at accountancy firm I.P. Pasricha & Co. “The terminology used in the law is overseas tour package, and the term tour package is [not] clearly defined in the I-T Act or rules.” Singh suggests booking components like hotel, flight tickets and cab separately.

Pick a foreign tour operator: International credit card transactions with a foreign tour operator do not attract TCS. Reports suggest that such transactions could be brought under LRS in six to eight months. In the interim, Singh says, “If you use an international credit card to purchase tickets and hotel bookings from a foreign tour operator, the strategy could result in significant savings. Therefore, if you book online through a foreign website, you may avoid paying TCS.” Besides, Singhania of Shardul Amarchand Mangaldas points out that foreign aggregators have not been collecting the current 5 per cent TCS, though they were required to. “However, if remittances made to foreign travel aggregators amount to LRS, the 20 per cent TCS may still apply [if] the amount paid to such agents is more than ₹7 lakh in a year.”

Echoing their views, IndusLaw’s Shruti says, “The [government] has said that international credit card payments will not fall within the ambit of LRS until fur-



“Opt for standalone bookings for stay, travel, etc., rather than a bundled tour package, which falls within the definition of a tour programme package”

SHRUTI K.P.
PARTNER, INDUSLAW



“[The government] believes a person [travelling abroad] must at least fall in the income tax bracket of 20 per cent; that is why [it] has levied a TCS of 20 per cent”

AMIT SINGHANIA
PARTNER, SHARDUL AMARCHAND
MANGALDAS & CO

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ther notice. While under Indian law, the international tour operator may also be required to collect TCS, they are unlikely to undertake the exercise.”

Use your credit cards smartly: Credit cards will not currently attract TCS. “Suppose you plan to go abroad, you can use your international credit card to book and save TCS. However, remember that once the TCS applies to cards, if you plan to go with your family or friends, you can still smartly use your card to book flight tickets and your spouse’s credit card for hotel bookings. Then, for each of you, the total payment made through all cards will have to be within ₹7 lakh. However, you must consult a tax expert before you do this to clarify the impact beforehand. For instance, if you and your spouse file returns jointly under HUF, the implications may differ,” says Adhil Shetty, CEO of BankBazaar.com.

But credit cards may include charges on foreign transactions. “It is best to avoid dynamic currency conversion and pay in the local currency,” says Shetty. And finally, heed Shetty’s advice and consult a tax planner to ensure you are fully compliant with the rules. **BT**

@imNavneetDubey